

Overview
Crisis Watch
System Resilience
Liquidity & Funding
Credit Markets
Policy Constraints
Inflation
Labor Market
Markets & Rates
Housing
Fiscal
Glossary

Time Range: ☒ 5Y ☐ 10Y ☐ 20Y ☐ Max

Crisis Watch

This page synthesizes multiple indicators into five structural dimensions. It is designed to surface gradual deterioration that individual series may obscure. Color coding is descriptive, not predictive — elevated readings indicate conditions that have historically preceded stress, not guaranteed outcomes.

2 dimension(s) stressed, 1 elevated, 4 within normal range.

TREASURY STRESS

Normal

10Y Yield

4.5%
as of 14 May 2026

Yield Curve

0.5%
as of 15 May 2026

CRE Lending Stds

-3.3%
as of 1 Apr 2026

RECESSION RISK

Normal

NY Fed Rec. Prob.

1.8%
as of 1 Mar 2026

Yield Curve

0.5%
as of 15 May 2026

INFLATION PERSISTENCE

Elevated

Core CPI YoY

3.0%
as of 1 Apr 2026

Headline CPI YoY

3.9%
as of 1 Apr 2026

LABOR WEAKNESS

Normal

Unemployment Rate

4.3%
as of 1 Apr 2026

Payrolls MoM

+115K
as of 1 Apr 2026

Leading Econ Index

56.4%
as of 1 Feb 2020

FINANCIAL STRESS

Normal

VIX

17.3
as of 14 May 2026

CRE Lending Stds

-3.3%
as of 1 Apr 2026

DEBT SUSTAINABILITY

Stressed

Federal Debt / GDP

122.6%
as of 1 Oct 2025

10Y Yield

4.5%
as of 14 May 2026

MARKET VALUATION

Stressed

CAPE (Shiller P/E)

41.7

as of 1 May 2026

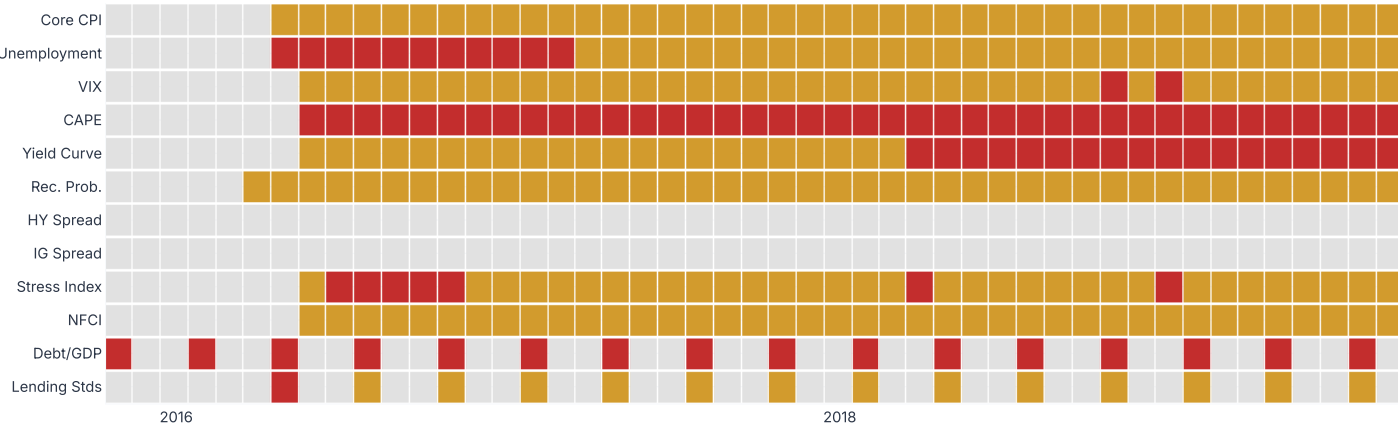
Trailing P/E

31.9

as of 1 May 2026

Indicator Risk Status — 10-Year History

Indicator Risk Status — 10-Year History (Monthly)



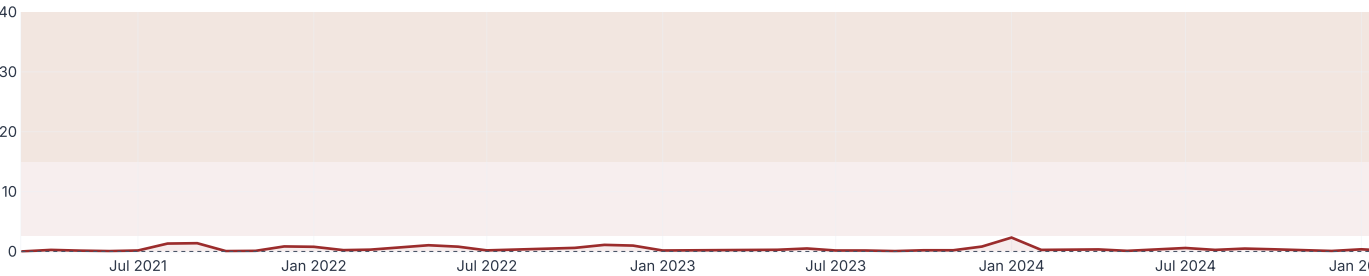
Monthly risk classification of twelve key indicators over the past ten years. Green = normal; yellow = elevated; red = stressed. Clusters of color identify correlated deterioration across multiple indicators — the pattern that precedes systemic stress more reliably than any single reading.

Key Indicator Detail

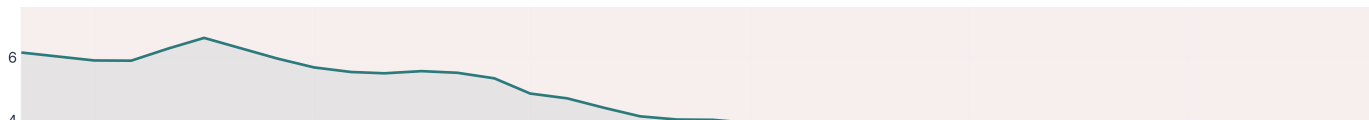
Yield Curve: 10-Year minus 2-Year Treasury Spread %

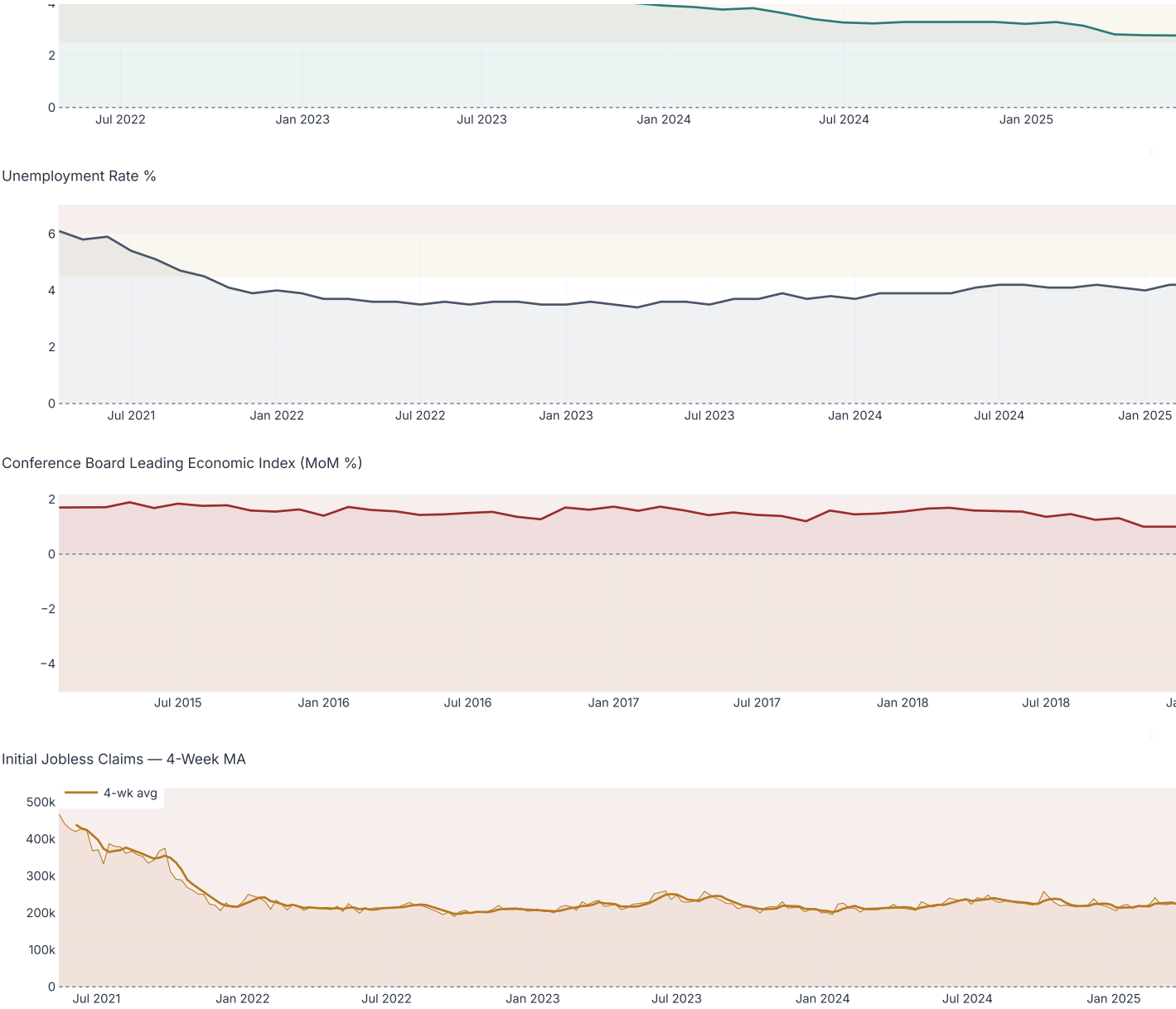


NY Fed 12-Month Recession Probability %



Core CPI YoY %





Structural Deterioration vs. Acute Crisis

Structural deterioration develops over years: rising debt loads, persistent above-target inflation, labor market erosion, or deteriorating credit quality in key sectors. These imbalances accumulate quietly, often masked by growth momentum or asset price appreciation, until they constrain policy options.

Acute crises arrive suddenly — a bank run, a liquidity freeze, a forced delevering event. They compress structural damage into days or weeks. Crucially, acute crises almost always land on pre-existing structural vulnerabilities that determine the severity of the impact.

The 2008 Global Financial Crisis illustrates the distinction: CRE and residential delinquencies climbed for 18+ months before Lehman Brothers' collapse compressed the acute phase into a single weekend. The structural fragility had been building; the trigger was catalytic, not causal.

The practical implication for monitoring: structural risks rarely announce themselves clearly. They appear in gradual data drift — a steady rise in delinquency rates, a persistent core inflation reading, a multi-quarter trend in labor market flows — that markets often discount until the pattern becomes impossible to ignore.

Why Warning Signs Are Often Discounted

Markets are structurally biased toward optimism during deteriorating conditions for several compounding reasons:

Momentum effects cause rising asset prices to generate self-confirming expectations. Complexity obscures the interconnections between institutions and instruments that determine systemic exposure. Data lags mean that economic releases report the past, not the present. And incentive misalignment — among

analysts, executives, and policymakers — creates pressure to project stability even when internal signals are concerning.

Historically informative examples: The U.S. yield curve inverted in August 2006 — 16 months before the December 2007 recession began. CRE lending standards tightened sharply through 2007. Both signals were visible and actively debated; consensus remained constructive well into 2007.

Not every warning signal triggers a crisis. Many inversions resolve without recession. Many delinquency spikes are contained by policy response or improved conditions. The relevant question is not 'will this cause a crisis?' but 'does the combination of signals suggest the system has less buffer than it appears to have?'

Historically Dangerous Indicator Combinations

Academic research on financial crises (Reinhart & Rogoff; BIS; IMF Working Papers) identifies recurring pattern clusters. These are probabilistic observations from historical episodes, not deterministic rules:

Debt-Rate Spiral

High government debt/GDP + rapidly rising interest rates → expanding debt service costs → crowding out productive investment → deteriorating growth trajectory. The critical metric is debt service as a share of revenue, not the absolute debt level.

Stagflation Trap

Persistent above-target inflation + softening labor market → contradictory signals for central banks → elevated policy error risk → credibility of monetary institutions tested. The 1970s remain the benchmark episode: dual mandates in conflict, with no clean resolution available.

Credit Stress Cascade

Rising CRE lending standards + elevated market volatility + tightening C&I standards → credit contraction → demand compression → self-reinforcing slowdown. CRE SLOOS tightening is a leading signal because commercial real estate is rate-sensitive and heavily levered.

Confidence Breakdown

When multiple dimensions show stress simultaneously, policy space narrows. Fiscal tools are constrained by debt levels. Monetary tools are constrained by inflation. Each instrument has fewer degrees of freedom. Historical episodes suggest that institutional credibility — not just economic fundamentals — often determines whether stress resolves or cascades.

How to Read This Page

Normal Readings consistent with historical norms. Does not imply immunity to future stress.

Elevated Above historical norms. Warrants attention in combination with other indicators.

Stressed Levels historically associated with significant economic stress. Single stressed indicators have often resolved without systemic crisis.

The overall configuration of indicators — not any single reading — is the most useful signal. Trends matter as much as levels: a rising unemployment rate at 4.8% may be more concerning than a stable 5.2%. All thresholds are empirically motivated but not universally agreed upon. Apply judgment accordingly.